الطالب الأكاديمي
THE ACADEMIC STUDENT

Faculty of Business Studies

ECO102
Principles of Macroeconomics

Mid Term Examination / Form C
2025-2026 / Summer

6 – August – 2026

mber of Exam Pages: 4 uding this cover sheet)	**Time Allowed:** **1.5 hours**

tructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except graphs/sketches
- Students are **NOT** allowed to use any type of dictionary or mobile phones during th examination
- Students are allowed to use ***non-programmable*** calculators only (if needed).

Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Polic

QUESTION ONE (6 marks)

Select the correct answer and write it in the **Answer Book**. **(1 mark each)**

1. Which of the following is most closely related to macroeconomics?
A) Why one café charges more than another
B) How a student divides time between study and leisure
C) Why the unemployment rate changes over time
D) How one firm chooses the price of its product

2. The benefit of something is
A) the amount of tax paid on it
B) the gain or pleasure it brings
C) the next best alternative forgone
D) the total money cost of producing it

3. Which of the following is counted in GDP?
A) A used phone sold by one person to another
B) Bread purchased by a household
C) A government unemployment benefit payment
D) Shares of a company sold in the stock market

4. The letter **I** in the expenditure formula for GDP stands for
A) income
B) imports
C) investment
D) interest

5. Domestic product refers to production that takes place
A) by citizens anywhere in the world
B) within a country
C) only in private firms
D) after depreciation is deducted

6. Excluding intermediate goods from GDP helps avoid double counting.
A) True
B) False

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QUESTION TWO: (8 Marks)

2A Identify whether each of the following topics belongs to Microeconomics or Macroeconomics. (2 marks)

1. The reasons for a high unemployment rate in a country.
2. How the price of smartphones affects their sales.

Explain your answers. (2 marks)

2B Classify the following statements as positive or normative and explain why. (4 marks)

1. "The government should spend more on public transportation."
2. "An increase in fuel prices raises transportation costs."

QUESTION THREE: (8 MARKS)

3A. Briefly explain what is included in GDP and what is excluded from GDP (name only two of these excluded items). (4 marks)

3B. The table below shows the prices and quantities of two goods in an economy. 2020 is the base year.

Good	Prices 2020	Quantity 2025	Prices 2025
Books	$10	50	$12
Pens	$2	200	$3

Calculate:

(a) Nominal GDP in 2025 (2 marks)

(b) Real GDP in 2025 using 2020 prices (2 marks)

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